

Scott Phillips Quant Q&A — Features, Execution and Finding Edge in Crypto

Open quant Q&A hosted by @ScottPh77711570 on X, September 2026. Source:

<https://x.com/ScottPh77711570/status/2096760358568628681> — transcript of the conversation (blue = Scott Phillips's answers).

@ScottPh77711570

Because I'm preparing for HyperTrend launch I'm taking quant questions that normally nobody would answer

If you've got specific questions about features, edge, portfolio construction, priorities for implementation, etc

Today I'm your Huckleberry

@therobotjames too

@ScottPh77711570

@friendscallmeap is horrified

I thought he was cooler than that <https://t.co/uS5HMiKMfS>

@ScottPh77711570

@friendscallmeap Here's the catch. I'm not gonna just give away shit that makes me money

You gotta come up with a specific question and I'll answer it

Show me you're halfway there and I'll close the gap for you

@Avik_Saikat

@ScottPh77711570 @therobotjames Since we have a very limited data for backtesting what are the most important metrics & methods we can use to avoid overfitting & lucky trades?

@Cyespx

The funding deceleration concept you talked about a couple days ago was really helpful. I found in some testing that it can give you a much better entry point for a funding play, where you have a better chance of getting some positive price movement on top of the high funding rate. I was wondering if there are other deceleration type indicators you look at, like changes in the rate of increase in open interest or volume, that you might combine with that or that have shown themselves to be useful signals?

@ScottPh77711570

@Cyespix @therobotjames Almost everything that works will work better that way

You're welcome

@fin_constructor

@ScottPh77711570 @therobotjames For intraday trading (the whole spectrum 1min-24h) do you need to be maker or are there edges that work as taker?

@wiltonhotz

@ScottPh77711570 @therobotjames How did a twink sub like AP come up with aggression features? Was it trauma or thrill?

I miss you @friendscallmeap ❤️

@ScottPh77711570

@wiltonhotz @therobotjames @friendscallmeap @friendscallmeap has truly blossomed under James

He is a far better trader than me now, and nearly as good as James

@wiltonhotz

@ScottPh77711570 @therobotjames How much does adding all your seasonality features add to your systems performance?

If you'd compare running all features vs all features ex. seasonality features.

Using metrics of your choice to describe.

@ScottPh77711570

@wiltonhotz @therobotjames We have 140 features now so that's really hard to answer. The best seasonality feature is a Sharpe 3.0 from memory so good but not incredible

@dima_quant

@ScottPh77711570 @therobotjames damn missed this - good luck with the launch!!! can't wait

@quant_arb

@ScottPh77711570 @therobotjames Please list the definitions for all your features. Thanks.

@ScottPh77711570

@quant_arb @therobotjames Bookmark this:

Long tranny devs/ short heterosexual devs

@HF_Trader

1) Intraday momentum is my bread and butter in TradFi markets:

For intraday momentum on Hyperliquid, would you prioritize local order flow or cross-exchange confirmation? How would you test whether a burst reflects new information versus Hyperliquid catching up to a move that already happened elsewhere?"

2) Does position transparency actually produce predictive information?

Which public position or liquidation-risk features on Hyperliquid would you test for incremental predictive value beyond price and order flow? How would you avoid building a liquidation map that looks insightful afterward but wasn't actionable beforehand?

3) What does a production-ready execution system need?

For strategies holding positions for minutes rather than milliseconds, what execution infrastructure would you consider sufficient on Hyperliquid? What live failure modes would you design around first, and which conditions should automatically halt new orders?

@ScottPh77711570

@HF_Trader @therobotjames Great questions

1. Intraday momentum improves by taking price from the price discovery venue (mostly binance) and trading where you are

2. Yes, but these resolve very quickly so it is unlikely non-MM's can profit. Mostly its a nerd-knife-fight

@trad62866

@ScottPh77711570 @moreproteinbars @therobotjames I have noticed that trend/momentum are the most dominant effects when rebalancing daily and most effects die or get very weak once you neutralize to trend. Are there any other strong effects like that? (Mostly interested in market-neutral/cross-sectional stuff)

@ScottPh77711570

@trad62866 @moreproteinbars @therobotjames Size

@HerrOak

@ScottPh77711570 @therobotjames Is there a way to move from daily rebalancing to higher frequencies (like hourly) without dying? Would you consider other features? Or just recalculate/resample the existing ones? I've seen other recommend rebalance based on volume instead of time, what's your take?

@ScottPh77711570

@HerrOak @therobotjames Recalculate your existing daily bars every hour!

Congratulations, you are now MFT!

@AnyonCurve

@ScottPh77711570 @therobotjames What information do you find valuable from the non-linear / options pricing in - for example - BTC? Without all the crime, some of the other major coins seem perfectly ready for exploitation.

@ScottPh77711570

@AnyonCurve @therobotjames Skew works like it did TradFi back in the day

And some other stuff I'll DM I can't talk about or the boys will kill me

@risk_taker88

My question may not be a specific one but still. Scott, I trade "dirty carry" on @variational_io and collected 200 points which, let's hope, can be 4-digit sum. Which is not nothing for me. Thank you very much for it! I truly appreciate it.

My plan is when the token is airdropped to buy ZEC or BTC for half of it and half to trade. What other strategy(ies) can you recommend and which platform? Do you farm any airdrop right now?

Dirty carry was good for me but too volatile. Especially for coins with negative funding rates. You go long and collect funding but the shit keeps going down.

@ScottPh77711570

@risk_taker88 @therobotjames @variational_io Re: Dirty carrie, you can improve it a lot by using a little common sense in the rebalancing, ie if you are trading top 3 and one drops to 5, its probably still good

Also the long (negative funding) works better, you can just trade that hedge with BTC + HYPE (what I would do)

@JstSomeGuy

@ScottPh77711570 @therobotjames I see difference cross sectional performance (eg long top 20% short bottom 20%) btw binance and HL, do you agree? Function of HL listing or some other effect Im too dumb to get?

How tight are your percentages for long short, do you concentrate more on one leg than the other?

@ScottPh77711570

@JstSomeGuy @therobotjames Binance has more dogshit, and more extractive bullshit so certain low capacity features will work way better there

But you can't get size on them so its irrelevant for us

For the small trader its real

@olvehe

@ScottPh77711570 @therobotjames Lets say I have a short term signal (need to enter position fast as in < 1 min, the at times faster, exits vary but within same day) I feel somewhat confident in "is real" (its fairly consistent, but not a huge expected return). I want to get an idea of 1) how much capacity it

@ScottPh77711570

@olvehe @therobotjames A starting point for capacity would be that you never really wanna be more than 5% of ADV or 10% of OI (even that's degen)

There are sophisticated measures of market impact but if you have to get in within 1m its probably something like liquidations

1/

@PostTradeZen

@ScottPh77711570 @therobotjames @bbands said he don't do walk forward analysis and no optimization, instead he:

1. check params sensitivity
2. find old system with tons of OOS
3. check consistency in time slices
4. check if system is simple and intuitive

I like that, but what is your take on robustness test?

@ScottPh77711570

@PostTradeZen @therobotjames @bbands 1. Walk forward is a good idea but your most recent data is the most valuable and in crypto its usually better to say "fuckit, we ball"

2. Unnecessary

3. Yes, but you are really trying to answer the question "am i being a cunt?"

@SidKZ0

@ScottPh77711570 @therobotjames on ML vs economic edge:

- (1) do you use ML (regression, ranking - not "AI") or economic factors only?
- (2) does ML add any edge over economic factors or just overfits faster?
- (3) has ML ever found something that actually made economic sense after - or mostly noise?

@ScottPh77711570

@SidKZ0 @therobotjames 1 - ML can work and obviously lots do it but philosophically we prefer to transform the data carefully so the benefit is marginal

2 - I'm legitimately unsure and if I answer it puts me in larp territory. We don't (except in execution and portfolio stuff)

3 - yes for HFT

@eyshu_tw

For small time ghetto kwants with no infra edge,

What are the best places to look for edge, intraday or long horizon?

I was trying to find something in the robinhood chain memes,

Wallet tracking is the best way to go, or look something else in the data, the same thing works in pumpfun?

@ScottPh77711570

@eyshu_tw @therobotjames GREAT question deserves some alpha drop

Robinhood memes with a multisig have a higher level of professionalism, planning, and pump potential

Simplify it: what are the characteristics of winning teams and winning coins?

@AffectiveAutism

@ScottPh77711570 @therobotjames I trade OTC markets and often you have to buy market data from 4 different vendors who will disagree in backtest

How do you make sure your signals are real/robust and not just artificially capturing bid ask bounce or something similarly spurious?

@ScottPh77711570

Excellent question

There are only a couple of trustworthy vendors in crypto, I use <https://t.co/9z4wfug6XQ>

Mostly our signals are real cos they are shit that either works weakly in tradfi but pays more in crypto or they used to work in tradfi but stopped

We don't do anything even remotely controversial, our shit looks a lot like AQR's or any other quant firm

@jxy610

@ScottPh77711570 @therobotjames I've been adding fundamental factors to the port, have some basic ones from commonish apis and they do ok. Is it worth it to pay a lot more for block chain data or some vendor that curates metrics like dau?

@ScottPh77711570

@jxy610 @therobotjames Yes, but universally the data vendors are so shitty

Its a very frustrating exercise

I would personally do this after you have good trend momo carry aggression features and have good execution

@6enginecig

@ScottPh77711570 @therobotjames for crypto features you've traded and subsequently retired, how often did the underlying flow mechanism actually disappear vs the price response moving ahead of the original entry?

have you successfully reused a "dead" feature by trading a different part of its response:

1/

@ScottPh77711570

@6enginecig @therobotjames this is different to when something "stops working" for example cross sectional momo stopped working for a year and then came back. totally normal

@6enginecig

@ScottPh77711570 @therobotjames another one..

for clob-amm arbs, i'm skeptical that "too little capacity for big players" offers much protection. an established searcher can aggregate thousands of tiny opps using shared infra.

in your xp, what has kept a niche unattractive to an already integrated desk

@ScottPh77711570

@6enginecig @therobotjames Not my area of expertise, my sum total of doing that is sinking beers with @GryptoGoon and @larpcapitalwc listening to them

@gotRekt1337

@ScottPh77711570 @therobotjames how do you not get liq'd when you are trying to short a basket of alts once everyone is done playing in the sandbox?

low leverage and a btc long hedge ?

You were talking about this on one of your video podcast thingies once. sharpe ratios

Ty ser

@ScottPh77711570

@gotRekt1337 @therobotjames Always be hedged long with BTC or BTC/ETH/HYPE

Trade many different shorts

Don't be a pussy. You get paid FOR enduring the squeezes which everyone knows about

This is why the trade persists

@OnlyDeFiGuy

Please can you lads do podcast 🙏

I'll post a few that I have anyway.

- I've been researching momentum strats, I'm not allowed to have a drawdown greater than 10% without losing my job. Does this rule out momentum for me? Possible to trade momentum on/off seasonal? How to lower the DDs but still run?

- MFT. my portfolio is high frequency, arbitrage, MMinig, funding ect. High sharp and good turnover. But tiny tiny wins. I'd love to add in a taste of mid frequency. Mainly to give myself a chance to have something with a bigger payoff. Trying to find a pairs trade system in crypto but finding it very hard to find anything of value to start with.

Where do you recommend is the lowest hanging fruit, what kind of data should I focus on?

I am able to 'portfolio hedge XYZ coin with ABC basket of majors' which works well ish. But I still can't find something to express this on. Should I focus on statistical , on chain, social , info to start or where do you recommend?

- you guys seem to have done a great job at scaling up to more capital without reducing your returns. I presume you did this by adding more strategies. Do you have advice for stratgety selection when someone wants to scale up.

I.e I'm good at finding arbs, but I'm not sure if I should just keep jamming in new low capacity arbs, or if I should try to focus on differentiated new strategies to run in parallel.

Apologies for long post all.

Thanks in advance. Looking forward to the podcast/ spaces.

@ScottPh77711570

@OnlyDeFiGuy @therobotjames Podcast CAN

Momentum you can trade but you will be limited to 25 vol

1/

@Squankulous

@ScottPh77711570 @therobotjames on feature optimization—how do you know when you've gone from "I have a theory for why this works better" to "I'm being a cunt"

@ScottPh77711570

@Squankulous @therobotjames @friendscallmeap gave a much better answer than I could

@yungp9rple

@ScottPh77711570 @therobotjames I watched your interview and something you said was to look at memecoins, an edge I was thinking about was trading the volatility based on abnormal amounts of volume. Is this a plausible strategy? Another thing you say is alpha in groupchats, how do one get into those networks?

@ScottPh77711570

@yungp9rple @therobotjames Volume is autocorrelated, meaning higher volume is predictive of future higher volume

If you don't speak nerd, increases in volume are pumpy

Look at <number of trades>

Re group chats - be either/both deeply interested in doing the work to be a better trader AND/OR funny

@299792458MaxHH

@ScottPh77711570 @therobotjames What have you had to learn (to manage people?) working on execution?

@ScottPh77711570

@299792458MaxHH @therobotjames basically that its really really hard and I didn't know shit about fuck but my frens are really smart

@NikolasBohm

@ScottPh77711570 @therobotjames how do you avoid survivorship bias in backtesting any strat or feature? Even if we use point in time top 100 MC, then this universe was never fully tradeable on HL or

even on binance. (nor is it tradeable today on HL, which may break a strat)

@ScottPh77711570

@NikolasBohm @therobotjames Its a ballache to do yourself, the easiest way is to pay for data and avoid all the bullshit

I use <https://t.co/z9wQ3eB26v> for this

@b_ruug

@ScottPh77711570 @therobotjames For a little guy with <50k who isn't an hft autist where would his time be best spent looking for edge?

Besides obviously be in dumber less liquid markets.

In these markets would you target any one category like arb, momentum, or carry specifically?

@ScottPh77711570

@b_ruug @therobotjames I would target carry first, in sketchy places, sketchier the better

@Versace_Trader had a thread on it a few days ago, its the right place

FYI the time should be spent getting into a GC with cunts who make money and making yourself useful or funny

That's the real alpha

@simnmayer

@ScottPh77711570 @therobotjames How do you build a big position in an illiquid alt? horizon 1-3 months.

- volume-based participation?
- urgency based on distance to target / opp cost of waiting?
- how do you tell your own impact from normal price movement?
- when do you stop being passive and cross the spread?

@ScottPh77711570

@simnmayer @therobotjames Conceptually you want to be patient and wait for some donkey to come in and mash the button on the other side

There's a lot of ways to click trade or automate this, but the concept is all you need

This is the definitive guide

<https://t.co/HLfYAckExs>

@123skely

@ScottPh77711570 @therobotjames As a quant, how much do I ape into Hyper Trend?

@ScottPh77711570

@123skely @therobotjames I'm fullstacking it, but I'm a complete fuckwit

Look, it's like this. If we don't get hacked or make some stupid mistake its gonna make a ton of money for everyone

It's a pretty big but though

@_unyk

@ScottPh77711570 @therobotjames Thoughts on cross-chain DEX arb? Aware it happens across EVM chains and has been quantified with wallet tracking. Done some research trying to cluster Solana/Ethereum arbs but looks to be extremely low volume/opportunity

@ScottPh77711570

@_unyk @therobotjames CEX-dex arb is a lower hanging fruit. If you search @GryptoGoon you will find a good thread on it

@BalefulWatcher

@ScottPh77711570 @therobotjames How do you manage auto-deleveraging risk for strategies which trade at most once a day?

I.e., what can you do to avoid randomly getting hosed on strategies that are otherwise "market neutral" without building a continuous trading algo to rebalance after being de-levered.

@ScottPh77711570

@BalefulWatcher @therobotjames I've never been ADL'd except at an incredible, wonderful price that I never would have gotten in a million years

@Vladimi72981101

@ScottPh77711570 @therobotjames 1) One recurring problem I keep encountering is that even though a signal looks great in research, it fails at the portfolio level (e.g. signals cluster). Are there ways to fix this?

2) Is a sparse but very high geometric EV strat trustworthy? (e.g. 100-200 trades in 8 years)

@ScottPh77711570

@Vladimi72981101 @therobotjames Yes, this is a problem for us all

Your signals are only valuable to the extent they are non correlated with your existing stuff

The solution is to make your trading like a food pyramid

1/

@lifeenjoyer____

@ScottPh77711570 @therobotjames anyone making a living out of quant trading has signals / features living across several clocks (wall/volume/event etc.) x different forward horizons, ik everybody has a different way of combining theirs but what have you found works best for you?

@ScottPh77711570

The “correct” way is to use the sampling method that is informed by your priors

In practice you do what works best

Imo you have to be **very** deep in the weeds in crypto, or operating at 2s horizons, to be using different clocks

Most people are gonna be totally fine with time clocks

@Metinique1

@ScottPh77711570 @therobotjames Is data mining strategies that uncover directional behaviors or tendencies of an instrument, followed by rigorous statistical and robustness testing, enough to build a reliable portfolio?

@ScottPh77711570

@Metinique1 @therobotjames not unless you do hft

@derivative_bro

@ScottPh77711570 @therobotjames What is capacity of HyperTrend in your opinion and why?

Sharpe and return decay at that point vs let's say 3/4 of the way there?

@ScottPh77711570

@derivative_bro @therobotjames I think Sharpe 3 at 100m and it will go down after that. We don't really know, a lot depends on whether hyperliquid continues to grab market share, and our infra can run on binance too if necessary (but fuck binance yaknow)

I don't think more than 500m is feasible

@miquel_malaga

@ScottPh77711570 @therobotjames 1. safety guidelines for mean reversion strategies?
2. regime switching?

@ScottPh77711570

@miquel_malaga @therobotjames 1. think about max portfolio percentage on a coin, max position size compared to ADV. How long it takes you to work in and out of positions is different for trashcoins and you want to test that in real world not in mathland. Also groups of similar shit

2. No, that doesn't work

@RobinLi247502

@ScottPh77711570 @therobotjames Is there alpha to be found in a execution model to enter and exit low cap shit im paying 15 bps roundtrip marketing in.

@ScottPh77711570

@RobinLi247502 @therobotjames That's not terrible, but better execution opens up stuff which is not economic to do at 15bps

I would work on execution AFTER you have 5-6 decent features

@vndeniable

@ScottPh77711570 @therobotjames when are you launching? what kind of size do you think HyperTrend can take?

@ScottPh77711570

@vndeniable @therobotjames I think it can take 100m pretty easy and 500m with a lowering of expectations

@markovschainsaw

@ScottPh77711570 @therobotjames How would you describe stat arb and why does it have nothing to do with cointegration?

@ScottPh77711570

@markovschainsaw @therobotjames @quant_arb is the Fuhrer of a ferocious band of incel brownshirts

I want no beef with the brownshirts

@DMTCapital

@ScottPh77711570 @therobotjames can you guarantee a 69420% return on your shitcoin derivatives trading strategy? pls sir mi familia

@ScottPh77711570

@DMTCapital @therobotjames Yes. Would I lie to you, Elmo?

Did I lie about Bangkok?

@0xelevenquit

@ScottPh77711570 @therobotjames scott, i wanna take the passive side more into account. what's a feature ya have used that does that? thx

@ScottPh77711570

@0xelevenquit @therobotjames Can you elaborate?

@HazeGenesis

@ScottPh77711570 @therobotjames recommendation for how to begin hunting for very low capacity edge that i can trade with a low 4 fig stack? Stuff that would be way too small for you to bother with

@ScottPh77711570

@HazeGenesis @therobotjames Find small coins which are only listed on very small 4th tier exchanges

Read the product docs v carefully

Theres always edge, either farming funding or manipulating them (get long perp, then buy on chain with max slippage to make spot go up)

@wock9000

@ScottPh77711570 @therobotjames top 3 bucket shops / exchanges you think are overlooked atm ?
no need to provide reasons

@ScottPh77711570

@wock9000 @therobotjames Not really my game in the last year, but in general the sketchier the venue the more likely you are to be able to make money and the less likely you are to be able to withdraw

Serious shops don't want to trade in shitty places, so that's your opportunity

@DPhantomOfDPits

@ScottPh77711570 @therobotjames For shorting memecoins (bottom 30% MCap), have u tried to quantify parabolic movements and volume&range Capitulation, does it improve much over a naive approach ?.

@ScottPh77711570

@DPhantomOfDPits @therobotjames Yes there are various identifying characteristics of the most prone to scampump coins

You can build a rolling universe around that

@quant_spence

@ScottPh77711570 @therobotjames what was the progression of your risk modeling from when you started to what you have know what were the indicators to knowing you could take it to the next level I guess this ties into infra as well? Thank you.

@ScottPh77711570

@quant_spence @therobotjames Good question

It starts with “how much do I want my portfolio to wiggle?” On a normal day, a once-a-quarter day, a once-a year day, a once every few years day

You can back that out into annualized vol by multiplying by $\sqrt{\text{trading days in a year}}$

1/

@meurfault

@ScottPh77711570 @moreproteinbars @therobotjames Should i combine flow signals before normalization/after normalization or allocate 1/N margin to all of them

@ScottPh77711570

@meurfault @moreproteinbars @therobotjames can you elaborate?

@kwertytwo

@ScottPh77711570 @therobotjames does the hl protocol coming with an effective speedbump mean it's possible to do hft style MM on crypto perps using binance as signal? without any mid or long term alphas, just have astra cook on latency and execution?

@Swan_Pineapple

@ScottPh77711570 @therobotjames 1) do you have a date for the launch ?
2) say i have limited data (6month) and you see what you think its an effect of Seasonality at 1am but you dont have enough datapoints, you can reason that someone disrupting price - do you take the trade or skip or with less size

@warp_sys

@ScottPh77711570 @therobotjames For intraday momentum, aggression etc. what is the best way to determine trading universe?

@etant0x

@ScottPh77711570 @therobotjames Hey Scott, you've helped me a lot with my long-only crypto momentum strat (multi-period EMA crossovers with vol targeting), which has a Sharpe around 1.5 (thank you!) I have two questions:

@kwertytwo

@ScottPh77711570 @therobotjames have you known anyone to take advantage of wash trading, eg on kalshi perps?

@idiotek77777

@ScottPh77711570 @therobotjames Do you use ai agents to automate exploration and iteration of features/signals? How useful do you think that is?

@predictsnfn

@ScottPh77711570 @therobotjames 1) Which real-time signals distinguish liquidation-driven exhaustion from a move likely to continue, using OI, spot/perp order flow and liquidity?